

He needed to start paying his bills on time, keep his debt at a manageable level (the second most heavily weighted factor), and possibly get loans at a higher interest rate until his record improved.

Unfortunately, this is a slow process and can't be accomplished overnight. Trent had wanted an improved record immediately and hadn't been willing to wait. This impatience led to a solution that seemed too good to be true, and it was.

Remember that it is illegal to lie about any identifying information such as your social security number. It is also illegal for any company promising to clean your credit to take payment in advance. Normally, what the credit repair clinics promise to do, you can do yourself for free.

Words of Wisdom

Credit handled wisely is a wonderful thing. The benefits of having access to credit and a positive credit report are numerous. Conversely, not understanding credit and making unwise decisions can affect you for years to come. Remember the advice from this chapter and you will become credit smart:

- Try not to charge more each month than you can hope to pay when the bill arrives.
- Know your safe debt level.
- Maintain only two credit cards maximum. The more you have, the more you'll charge.
- Don't fall into the trap where you pay off your credit cards with a debt consolidation loan and then continue to charge on your credit cards.
- Stop using your credit cards after you have paid them off if you're trying to reduce your number of accounts. Cut them up and close the accounts.
- Pay your bills on time and don't pay less than the monthly amount due.

